



FAST TRACK NaBFID has already sanctioned ₹25,000 crore in less than a year of its operations

phase—has negligible non-performing assets. The earlier build, operate and transfer (BOT) model of road financing—where revenues depended on traffic volume—had resulted in a lot of pain for the lending institutions.

The National Highways Authority of India (NHAI) has also responded with better concession agreements that have improved enforceability and termination clauses. “We feel the time is right for a lot of public infrastructure investments. We see a lot of traction in the transportation sector, especially the roads, energy, and renewable sectors,” says Samuel Joseph Jebaraj, Deputy MD, Lending and Project Finance, at NaBFID.

He adds that the improving depth of the bond market has also allowed NaBFID to successfully mobilise long-term bonds worth ₹10,000 crore, at an attractive rate of 7.43 per cent, with a 10-year tenure. There

is now a growing life insurance and pensions industry to provide a constant flow of long-term funds.

Which brings us to the question: Are banks open to innovations like takeout financing (loans taken out from the loan books of one lender to another)? “Now that NaBFID has entered the picture, it could be possible to do long-term, 20-25 years’ financing [with takeout financing],” reasons Jebaraj.

The banking sector has also achieved scale through consolidation, with the merger of public sector banks creating large banks with balance sheets of over ₹10 lakh crore. “Even if we have to grow at 10 per cent, the amount of lending required will be quite high,” says a public sector banker, requesting anonymity.

While NaBFID is well stocked with capital for the next three years, given its growth plans, the bank can raise additional capital through bonds in the form of debt, to aug-

ment its capital base. But such a plan can wait as any additional capital raised before exhausting its current corpus would unnecessarily add to its cost of funds. “Most of the infrastructure investment trusts (InvITs) in the road sector are rated Triple-A. The capital consumed by these higher-rated assets is low,” says Jebaraj. In terms of leverage, NaBFID is allowed to borrow 10x its equity capital. This means, the bank can mobilise up to ₹2 lakh crore. Although the NaBFID Act, 2021, provides for equity dilution, it is not required immediately.

Even as raising capital is not a concern for NaBFID, it is moving very cautiously with a balanced portfolio of completed projects (refinancing route), brownfield expansion, and greenfield projects, as a lopsided focus on greenfield projects—that carry high risks—could take a lot of time to ramp up the bank’s balance sheet.

“We are also looking at credit enhancements. If we have to deepen the bond market and also catalyse investments in infrastructure, then instead of NaBFID financing, the bank could provide partial guarantees to a lender and enable them to raise money from the market,” says Jebaraj. A project that is A-minus rated could achieve a double A rating with a partial credit enhancement facility.

NaBFID is also exploring a larger role in the infrastructure segment and not just financing, with the objective of playing a catalysing role in developing infrastructure and the entire ecosystem. For instance, it is looking at project advisory roles in railways and transportation infrastructure projects that are stuck, or that have not moved at the required pace.

Despite all this, will NaBFID, as a thought leader and financier in the infra-financing space, be able to deliver on its mandate of pushing infrastructure spending? Only time will tell. **BT**

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